

A diligent investor seeks to avoid getting trapped in such mis-selling by reading up on his own. However, a visit to any good bookshop shows that finding a good book on investing in the Indian context is not an easy task. Though there is no shortage of great books by global gurus that can inform the Indian investor about how to build his investment portfolio, the relevance of global literature to India becomes limited because of a combination of three factors.

Firstly, there is an overwhelming dominance of physical investments like gold and real estate in most Indian households' portfolios. A recent RBI committee opined that 88 per cent of an Indian investor's wealth is in gold and real estate,³ a dominance not seen in any other large economy of the world. Moreover, issues around illiquidity, emotional connect and unfavourable capital gains taxation make it harder for investors to move away from such existing physical investments. Secondly, the culture of stock market investments in India is only two decades old. With the regulatory supervision of the Indian capital markets still evolving, and given the irregular quality of financial reporting by Indian companies, it is difficult for an average investor to make an informed decision. Thirdly, unlike the stock markets in some developed countries, the Indian stock market has very few great companies that sustain leadership over long periods of time. This point is demonstrated clearly through the following analysis from Ambit Capital's research—the average probability of a sector leader remaining a sector leader five years later is only 15 per cent, implying that 85 per cent of BSE500 companies slide towards mediocrity. In fact, the average probability of a 'great' company becoming a sector laggard five years later is 25 per cent. Even the Nifty 'churns' by around 50 per cent or so every decade (as compared to around 25 per cent for developed markets and around 30 to 40 per cent in other major emerging markets). Furthermore, the tendency for large, successful companies to slide down the market-cap spectrum is not confined to the Nifty. A guide to portfolio construction and investment in India needs to take heed of these peculiarities. This book aims to be such a guide.